ENTREPRENEURSHIP

Chapters 1–3 Summary Cheatsheet

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CHAPTER 1: INTRODUCTION TO ENTREPRENEURSHIP

What is Entrepreneurship?	
Entrepreneur	Someone who creates or transforms an opportunity into a new product/service and assembles the resources needed to start a venture.
Entrepreneurship	The process of identifying a problem, creating a solution, and launching a business around it — turning problems into value.
Key traits	Proactive, innovative, moderate risk-taker. NOT a gambler or a get-rich-quick seeker.

Why People Become Entrepreneurs

- Desire to be their own boss
- Desire to pursue their own ideas
- Financial rewards (NOTE: money alone rarely drives entrepreneurs)

Characteristics of Successful Entrepreneurs

- Tenacity despite failure — ability to persevere through setbacks
- Execution intelligence — turning a solid idea into a viable business
- Achievement-motivated, creative, decisive, energetic, self-confident
- Moderate risk-taker (not a gambler), visionary, tolerant of ambiguity
- Strong work ethic, networker, optimistic, influential

4 Myths About Entrepreneurs	
Myth 1	"Born, not made" — FALSE. No one is born an entrepreneur; environment & choices matter.
Myth 2	"Entrepreneurs are gamblers" — FALSE. They are moderate risk-takers who set challenging but calculated goals.

Myth 3	"Motivated primarily by money" — FALSE. Purpose and passion come first; chasing money is a distraction.
Myth 4	"Must be young & energetic" — FALSE. Peak business ownership is ages 35–45; experience, maturity & track record matter most.

Changing Demographics of Entrepreneurs

- Women-owned businesses: 111 million globally; up 20% in early 2000s
- Minority-owned businesses: ~18% of U.S. firms
- Senior entrepreneurs grew from 15% to 23% (1996–2012)
- Young entrepreneurs: 7/10 high school students want to start a business

Economic Impact of Entrepreneurial Firms

Innovation	Small firms are 2× as innovative per employee as large firms.
Job Creation	Entrepreneurial firms drive most new job creation in the economy.
Society	New products/services improve health, productivity, and daily life.
Larger Firms	Entrepreneurs build products that help corporations become more efficient.

The Entrepreneurial Process (4 Steps)

Step 1	Deciding to become an entrepreneur
Step 2	Developing successful business ideas
Step 3	Moving from an idea to an entrepreneurial firm
Step 4	Managing and growing the entrepreneurial firm

CHAPTER 2: RECOGNIZING OPPORTUNITIES & GENERATING IDEAS

Opportunity vs. Idea	
Opportunity	A favorable set of circumstances that creates a need for a new product, service, or business. Has 4 qualities: attractive, timely, durable, and anchored in a product/service that creates value.
Idea	A thought or concept — NOT the same as an opportunity. Ideas must be tested against market reality.
Window of Opportunity	A time horizon during which the opportunity exists before something eliminates it. Act before it closes.

3 Ways to Identify Opportunities	
1. Observing Trends	Monitor economic, social, technological, and political/regulatory forces. Changes in these areas signal gaps and needs.
2. Solving a Problem	Spot a frustration in daily life or work and build a solution around it. Many firms began this way.
3. Finding Market Gaps	Identify a product/service needed by a specific group that is too small for mainstream players to bother with.

4 Trends That Create Opportunities	
Economic Forces	Cost reduction, productivity gains, pricing shifts — e.g., economic downturns create demand for budget alternatives.
Social Forces	Aging population, wellness focus, social networks, shifting family roles.
Technological Advances	Entire industries created by tech — computers, internet, digital photography, biometrics.
Political/Regulatory	New laws create demand for compliance services and solutions.

Personal Traits That Help Spot Opportunities	
Prior Experience	Industry knowledge helps identify underserved niches and builds networks that surface ideas.
Cognitive Factors	"Entrepreneurial alertness" — a sixth sense to notice opportunities without deliberate search.
Social Networks	Weak-tie relationships (casual contacts) spark more new ideas than strong-tie ones (close friends/colleagues).
Creativity	5 stages: Preparation → Incubation → Insight → Evaluation → Elaboration.

Idea Generation Techniques	
Brainstorming	Group session targeting a specific topic. Rules: no criticism, freewheeling encouraged, move fast.
Focus Groups	5–10 carefully selected people led by a moderator to explore perceptions and needs.
Library & Internet Research	Trade journals, industry reports, Google Alerts, targeted searches.
Customer Advisory Boards	Regular meetings with customers to surface needs and pain points.
Day-In-The-Life Research	Employees spend a day with a customer to observe real problems firsthand.
Idea Banks	A physical or digital vault to collect, store, and evaluate ideas systematically.

CHAPTER 3: FEASIBILITY ANALYSIS

What is Feasibility Analysis?	
Definition	The process of determining whether a business idea is viable — an initial evaluation conducted before committing significant resources.
Timing	Do it EARLY — screen ideas before spending money. Think of it as a filter, not a formality.
Components	4 parts: (1) Product/Service Feasibility, (2) Industry/Target Market Feasibility, (3) Organizational Feasibility, (4) Financial Feasibility.

1. Product/Service Feasibility	
Purpose	Assess the overall appeal of the product or service — is there genuine demand, not just desire?
Key Questions	Does it solve a real problem? Is the timing right? Are there fatal design flaws? Does it exploit a trend or gap?
Concept Statement	A one-page description of the business distributed to potential customers for feedback on viability and improvements.
Buying Intentions Survey	An instrument attached to the concept statement to measure actual customer interest, not just curiosity.
Gumshoe Research	Hit the streets. Talk to real potential customers. Observe. Ask. Investigate everywhere possible.

Desire vs. Demand

- Desire = people WANT something but won't necessarily pay for it
- Demand = people WANT it AND are willing and able to PAY for it
- A feasible product must have demand, not just desire — this is a critical distinction in early evaluation

2. Industry/Target Market Feasibility	
Industry Attractiveness	Evaluate whether environmental and business trends favor the industry. Growing industries = more opportunity.
Target Market	The specific slice of the industry the firm will pursue. Must be large enough to sustain the business, but small enough to avoid big competitors.
4 Market Criteria	Measurable (can you quantify it?), Accessible (can you reach them?), Substantial (big enough to be profitable?), Differential (does the segment respond differently to your offer?).

3. Organizational Feasibility	
Purpose	Determine if the team has the management expertise, organizational competence, and non-financial resources to launch.
Management Prowess	Passion for the idea + understanding of the target market. These two factors are the most critical to assess.
Resource Sufficiency	List the 6–12 most critical non-financial resources needed. If key resources are unavailable, reconsider the idea.
Non-Financial Resources	Office/lab space, local government support, labor quality, proximity to suppliers/customers, strategic partnerships, IP protection.

4. Financial Feasibility	
Total Start-Up Cash Needed	List ALL capital purchases and operating costs required to generate the first sale. Is the number realistic?
Financial Performance of Similar Businesses	Benchmark your projections against existing comparable firms using industry reports or observational research.
Overall Financial Attractiveness	Does the venture offer sufficient potential return given the risk? A rough assessment is enough at this stage — not a full business plan.

Quick Exam Reference: Key Terms	
Feasibility Analysis	Initial viability check of a business idea before major resource commitment
Concept Statement	One-page business description used to gather early customer feedback
Gumshoe Research	Direct street-level investigation; talking to potential customers personally
Buying Intentions Survey	Instrument measuring real customer intent to purchase
Target Market	The specific market segment a firm will pursue within a broader industry
Management Prowess	The passion + market understanding of the founding team
Resource Sufficiency	Whether critical non-financial resources are available to launch